and minimum levels of oversight and restricts how managers are paid. These regulations mitigate, but do not eliminate, principal-agent problems.

The 40-Act is imperfect but could be much worse—as we shall see when discussing hedge funds and private equity in chapters 17 and 18, respectively.

Exchange traded notes (ETNs) look like ETFs in that they are managed funds traded on exchanges, and they track indexes. But they are not 40-Act funds; they are regulated as fixed income securities and are technically loans to banks. They have high costs, complicated taxes, and prices that can differ significantly from their underlying market value. Unlike 40-Act funds, which must clearly disclose fees, ETNs excel in making their fees nontransparent. Jason Zweig, a financial columnist, waded through some heavy prospectuses to compute some total fees.[22] The Etracs Daily Short S&P500 VIX Futures ETN has a 1.35% "tracking fee" and fixed hedging costs of 0.077% per week, or 5.35% per annum. The Credit Suisse Long/Short ETN tries to replicate certain hedge fund strategies and charges an "annual investor fee" of 0.45%. There is also an "accrued holding rate" of 0.7% and an "accrued index adjustment factor" fee of 0.5%. The total fee is more than three times the reported fee. This level of obfuscation is not permitted for 40-Act funds.

3. Mutual Funds

Mutual funds love to advertise high past performance. While management companies rave about high returns, the truth is that the average mutual fund underperforms the market. Active mutual fund companies rarely acknowledge this, and the returns they report are biased upward.

3.1. SURVIVORSHIP BIAS

Janus Worldwide and Janus Global Research

Janus Worldwide used to be one of Janus's most popular funds. It started in the early 1990s and rode the Internet rollercoaster up into the sky in the late 1990s, and then back down after 2000. Figure 16.3, Panel A shows that the fund reached a peak of almost $45 billion in early 2000. Unlike the Janus Twenty (see Figure 16.1), Janus Worldwide's AUM never stabilized, and outflows continued over the 2000s. Janus Worldwide used to be managed by Hayes, the Janus manager who was named Morningstar Fund Manager of the Year in 1997. She retired in 2003, and her departure was partly driven by the demands of a Janus shareholder (Highfields Capital Management, a hedge fund) to reveal her salary and

[22] Zweig, J., "In New Funds, Old Flaws," *Wall Street Journal*, April 13, 2012.